Table 14.9

Alaska Permanent Fund Asset Allocation at April 2012		
Asset Class	*Weights*	*Comment*
Cash	2%	Aim: To meet expected liabilities and manage liquidity needs from rebalancing
Interest Rates	6%	Examples: Safe sovereign bonds Aim: To provide insurance against severe equity market correlations and to provide high liquidity
Company Exposure	55%	Examples: Global equities, corporate bonds, bank loans, private equity Aim: Benefit from times of growth and prosperity
Real Assets	19%	Examples: Real bonds, real estate, infrastructure Aim: Hedge inflation risk
Special Opportunities	18%	Examples: Absolute and real return mandates, emerging markets, distressed debt Aim: Take advantage of special investment opportunities The allocation is not fixed, and the allocation not invested resides in the company exposure risk class

In summary, Alaska's macro-factor investing looks through asset class labels by categorizing the way different asset classes react to economic growth, inflation, and other macro risks.

6. Sovereign ("Risk-Free") Bonds

My factor investing advice—to start with the market portfolio and see how your preferences differ from the average investor—must allow for an important exception: sovereign bonds that are "safe" assets. I recommend not holding, or starting from, market weights for risk-free bonds. Factor investing, however, still applies to these assets. Indeed, the special nature of these investments means that taking factors into account is especially valuable.

6.1. DO NOT HOLD MARKET WEIGHTS IN SOVEREIGN BONDS

In simple economic models, safe assets issued by governments are in *zero net supply*. There are no aggregate weights for risk-free assets because, for every person with a long position in risk-free assets, someone is shorting to provide that long position. Risk-free assets have meaningful prices, but these are prices in which